WEEK 2 · LECTURE L2 · UNIT I

Maturity Models and Strategic Alignment

Where do we stand? Stage models, capability grids, the digital divide and the compliance frame, and why tools must follow strategy.

R K Singh · Senior Professor, Department of Commerce · Delhi School of Economics, University of Delhi
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AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

- Explain what a maturity model is for, and its four core assumptions.
- Compare stage models (Kavanagh, Bersin, Nolan, CMM) with the Westerman capability grid.
- Apply Kotter's urgency step, the three-level digital divide and the DPDP and Social Security frames to an HR transformation.
- Critically evaluate maturity models, including their empirical weaknesses.

COURSE OUTCOMES

CLO 1 (maturity models and strategic alignment) and CLO 4 (readiness frameworks).

FRAME FIRST

What a maturity model is actually for

An argument, made legible

A maturity model makes an argument about capability understandable to people who do not share your expertise.

Communication, not measurement

Its purpose is prioritization and communication, not measurement in any strict sense.

The correct reply

"The model says we are at Level 2." No: you said it, using the model.

THE FAMILY OF THEORY

What every stage model claims

Ordered
The stages form a sequence, not a menu.

Cumulative
Each higher stage contains more capability than the one below.

Non-skippable
Each stage rests on the one below; buying a stage four capability without stage three foundations fails.

Diagnosable
An organization's stage can be identified from observable indicators.

EXAM LENS

Non-skippability is the strongest and most testable claim. Name it when asked to evaluate a stage model.

KAVANAGH AND JOHNSON (2018), AS USED IN THIS COURSE

The HR technology maturity ladder: five stages

Stage	What it looks like
1. Paper and spreadsheet	Records on paper or local files; manual reporting; nobody owns the data
2. Point solutions	A tool per problem; none speaks to the others; data re-keyed between them
3. Integrated	One system of record with live feeds; an employee exists once; routine reporting
4. Optimized	Processes redesigned around the data; self-service is the norm
5. Intelligent	Systems predict and recommend; HR decides with models and answers for them

EXAM LENS

The 2 to 3 gap is political (one definition of an employee must win); the 3 to 4 gap is about skills (redesigning, not operating, processes). Neither is a software problem.

BERSIN (2012)

The analytics ladder: four questions

Level	Question answered	What must be true first
1. Reactive reporting	What happened?	Headcount that agrees with itself
2. Proactive reporting	What is happening, and where?	Scheduled, segmented, trusted reports
3. Strategic analytics	Why is it happening?	Joins across systems and causal reasoning skills
4. Predictive analytics	What will happen, and what should we do?	Deep, clean history and governance of predictions

EXAM LENS

Kavanagh measures the plumbing; Bersin measures the thinking. An organization can be high on one and low on the other.

WESTERMAN, BONNET AND MCAFEE (2014)

Two axes instead of one ladder

Beginners

Low digital capability, low leadership capability. Not always failing; sometimes simply early.

Fashionistas

High digital, low leadership: tools everywhere, no coherence, pilots that never scale.

Conservatives

Low digital, high leadership: governed and cautious, but under-invested.

Digital Masters

High on both: capability and the coordination to realize it. The study finds they outperform their peers.

The leadership axis is the scarcer one. Firms buy their way rightward because tools are procurable; moving upward needs governance, sequencing and political capital, which cannot be bought.

CARRY THIS INTO THE EXAMINATION

Which instrument answers which question

Question	Better instrument
Where are we, and what comes next in this domain?	Stage model
Where should the marginal rupee go: capability or coordination?	Capability grid
Why has our spending not produced results?	Grid: it diagnoses the Fashionista
What is the sequence for the next eighteen months?	Stage model
How mature is the organization, in one number?	Wrong question: maturity is a profile, not a score

THE CRITIQUE

What maturity models cannot tell you

They assume one path

Sector, size and regulation may make a different route rational.

They describe, not explain

A model can place you at Level 2; it cannot say why, or whether climbing improves outcomes.

Higher is assumed better

For some organizations Level 3 is the efficient stopping point.

Many are vendor-authored

Their highest level often resembles the vendor's product.

STRATEGIC ALIGNMENT

The module list masquerading as a strategy

The outcome test

What business number moves, by how much, by when?

The ownership test

Who outside HR is accountable for that number?

The sacrifice test

What are we stopping in order to fund this?

The reach test

Which workforce segment does this actually touch?

EXAM LENS

A sequenced list of purchases with no stated business outcome is not a strategy. Apply all four tests when evaluating any digital HR plan.

KOTTER (1995; 1996)

Eight steps, derived from failures

Create the climate

1. Establish urgency. 2. Form a guiding coalition. 3. Develop a vision and strategy.

Engage the organization

4. Communicate the vision. 5. Empower broad-based action. 6. Generate short-term wins.

Sustain the change

7. Consolidate gains. 8. Anchor the change in the culture.

Kotter (1995) estimated that roughly three quarters of management must honestly believe the status quo is more dangerous than change before urgency is real.

EXAM LENS

Distinguish true urgency (evidence-based) from false urgency (anxious activity). Kotter derived the steps from where failures clustered, which is also their limitation: they are descriptive of failure, not tested as a recipe.

VAN DIJK (2005); VAN DEURSEN AND HELSPER (2015)

The three-level digital divide

Level	Question	Remedy
1. Access	Can the person physically reach the system: device, connectivity, data cost, interface language?	Design and procurement; training cannot fix a feature phone
2. Skills	Given access, can they operate it confidently, without fear of visible mistakes?	Capability building, in their language, in paid time
3. Outcomes	Given access and skill, do they obtain the benefit: the entitlement, the payment, the job?	Redesign the process so the benefit actually arrives

EXAM LENS

Each level needs a different remedy, and an average conceals all three. In India the divide often runs inside the firm, between corporate offices and the frontline.

THE COMPLIANCE FRAME

DPDP Act 2023 and the Code on Social Security 2020

DPDP Act 2023

The employee is a Data Principal; the employer is the Data Fiduciary and answers for every vendor. Notice, purpose limitation and correction rights become system requirements, not just policies.

Code on Social Security 2020

Gives gig and platform workers legal definitions and places welfare obligations on aggregators (1 to 2 percent of turnover, capped at 5 percent of payouts to these workers) without making them employees.

Legal obligations precede the business case entirely: they set requirements no cost-benefit argument can override.

THEORY IN DEPTH · NOLAN (1973); KING AND KRAEMER (1984)

Stage models: influential, and contested

THE CORE IDEA

Nolan proposed that computing in firms grows through fixed stages: initiation, contagion, control, integration.

HOW IT WORKS

Spending follows an S-curve; each stage creates the problems the next stage solves.

LIMITS AND CRITIQUE

King and Kraemer (1984) found weak empirical support: firms did not move through the stages as predicted.

IN PRACTICE

Use a maturity stage to describe where an HR function is now, not to forecast where it must go next.

EXAM LENS

Cite King and Kraemer when evaluating any stage model: it is the classic empirical critique.

THEORY IN DEPTH · PAULK ET AL. (1993)

The Capability Maturity Model judges processes

THE CORE IDEA

Built at Carnegie Mellon for software: maturity means repeatable, defined, measured processes.

HOW IT WORKS

Five levels: initial, repeatable, defined, managed, optimizing. Each rests on the one below.

LIMITS AND CRITIQUE

It can reward documentation over results, and suits stable processes better than fast-changing ones.

IN PRACTICE

Recruitment run from a shared inbox is at the initial level: it works only because particular people know how.

EXAM LENS

The CMM is the origin of many HR maturity models; show you know where the ladder idea came from.

THEORY IN DEPTH · HENDERSON AND VENKATRAMAN (1993)

IT must fit strategy on two dimensions

THE CORE IDEA

The Strategic Alignment Model links business strategy, IT strategy, organizational infrastructure and IT infrastructure.

HOW IT WORKS

Strategic fit joins strategy to infrastructure; functional integration joins business to IT.

LIMITS AND CRITIQUE

Alignment can become rigidity when strategy shifts faster than systems.

IN PRACTICE

A retailer whose growth depends on frontline staff in smaller towns, but whose HR systems serve only head office, is misaligned.

EXAM LENS

Use the model to show misalignment explicitly: name which of the four domains are out of fit.

THEORY IN DEPTH · PÖPPELBUSS AND RÖGLINGER (2011)

Ask what a maturity model is for

THE CORE IDEA

Maturity models serve three purposes: describing where you are, prescribing what to do, or comparing organizations.

HOW IT WORKS

A good descriptive model needs clear criteria; a good prescriptive one also needs actions that improve the score.

LIMITS AND CRITIQUE

Many published models describe without prescribing, and few are empirically tested.

IN PRACTICE

A description of current maturity alone does not justify which domain to transform first.

EXAM LENS

When evaluating a model, first state which of the three purposes it serves.

PRACTICE FOR THE END-TERM EXAMINATION

Questions to rehearse

"Large Indian organizations do not have a maturity level; they have a maturity gap." Using stage models and the Westerman grid, critically evaluate the usefulness of maturity models for HR. **20 marks**

A strong answer: explains the four assumptions of stage models; contrasts Kavanagh and Bersin; applies the Westerman grid; uses King and Kraemer and Pöppelbuß and Röglinger for critique; argues maturity is a profile, not a score.

Explain the three-level digital divide and show why each level requires a different remedy in an Indian organization. **20 marks**

A strong answer: defines access, skills and outcomes; gives a remedy per level; explains why averages conceal the gap; links to the DPDP Act and frontline realities.

What are Kotter's eight steps, and why does he argue the first step decides the rest? **10 marks**

A strong answer: lists the steps in three phases; explains true versus false urgency and the three quarters threshold.

CARRY THESE INTO THE EXAMINATION

Three things to remember

1. **A maturity model is a sequencing discipline, not a destination**
   Use it to argue priorities, not to report a score.

2. **One number hides more than it shows**
   Kavanagh measures the plumbing, Bersin the thinking, Westerman the capacity to direct either.

3. **Exclusion and obligation are diagnoses, not afterthoughts**
   Access, skills and outcomes need different remedies; the law sets requirements no business case can override.

SET READINGS · FROM THE LESSON PLAN

Read for this lecture

- Westerman, G., Bonnet, D., & McAfee, A. (2014). *Leading Digital*, the maturity framework.
- Deloitte, *Global Human Capital Trends* (latest), selected sections.
- Next lecture: Kavanagh and Johnson (2018), Ch 2 and Ch 14; Angrave et al. (2016).

COMPANION

Each set reading is explained in the matching Unit Reader on rksingh.tech/materials.

THEORY SOURCES · FOR REFERENCE

Sources for this lecture

Works named on the slides of this lecture. They are background sources, not set readings.

Bersin, J. (2012). *Talent analytics maturity model*. Bersin by Deloitte.

Henderson, J. C., & Venkatraman, N. (1993). Strategic alignment: Leveraging information technology for transforming organizations. *IBM Systems Journal, 32*(1), 4–16.

Kavanagh, M. J., & Johnson, R. D. (Eds.). (2018). *Human resource information systems: Basics, applications, and future directions* (4th ed.). Sage.

King, J. L., & Kraemer, K. L. (1984). Evolution and organizational information systems: An assessment of Nolan's stage model. *Communications of the ACM, 27*(5), 466–475. https://doi.org/10.1145/358189.358074

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Nolan, R. L. (1973). Managing the computer resource: A stage hypothesis. *Communications of the ACM, 16*(7), 399–405. https://doi.org/10.1145/362280.362284

Paulk, M. C., Curtis, B., Chrissis, M. B., & Weber, C. V. (1993). Capability maturity model, version 1.1. *IEEE Software, 10*(4), 18–27. https://doi.org/10.1109/52.219617

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van Deursen, A. J. A. M., & Helsper, E. J. (2015). The third-level digital divide: Who benefits most from being online? In *Communication and information technologies annual* (Studies in Media and Communications, Vol. 10, pp. 29–52). Emerald. https://doi.org/10.1108/S2050-206020150000010002

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Westerman, G., Bonnet, D., & McAfee, A. (2014). *Leading digital: Turning technology into business transformation*. Harvard Business Review Press.